Retail Equity Research

Eternal Ltd.

Sector: Internet & Catalogue Retail

Recommendation

Rating	HOLD	Target	Rs.337	CMP	Rs.306	Return	10%

Company Data

Market Cap	295735.0	52W High	314.0
52W Low	190.0	EV	294166.0
Shares	965.0	Free Float	71.9%
Dividend Yield	-	6M Avg Volume	6.1
Beta	1.0	Face Value	1.0

Shareholding Pattern

Period	Promoters	FIIs	MFs / Inst.	Public	Others	Total
Q3FY25	0.0	47.3	20.5	8.0	24.1	100.0
Q4FY25	0.0	44.4	23.6	8.5	23.6	100.0
Q1FY26	0.0	42.3	26.6	7.6	23.5	100.0

Price Performance

Period	3M	6M	1Y
Absolute	32.1%	44.8%	39.7%
Sensex	3%	7.9%	2.5%
Relative	29.2%	36.9%	37.1%

Outlook & Valuation

Eternal Limited is poised for long-term growth and improved profitability, driven by its strong market position and growth prospects in the quick commerce business (QCB). The company's focus on inventory ownership and margin improvement is expected to drive profitability. Although the industry outlook remains competitive, the company's strategy and long-term growth objectives, along with its strong management team, are expected to drive future growth. However, the stock's significant run-up in price and rich valuations limit the upside potential from current levels. Therefore, we downgrade our rating on the stock to HOLD from BUY with a revised target price of Rs. 337, based on 6x FY27 price/sales.

Quarterly Financials

Metric	Q1FY26	Q1FY25	Q4FY25
Sales	7167.0	4206.0	5833.0
YoY Growth	70.4	-	-
QoQ Growth	22.9	-	-
EBITDA	115.0	177.0	72.0
Margin	1.6	4.2	1.2
EBIT	-199.0	28.0	-215.0
PBT	88.0	239.0	97.0
Reported PAT	25.0	253.0	39.0
Adj PAT	25.0	253.0	39.0
Adj EPS	0.03	0.3	0.04

Annual Financial Summary

Metric	FY25A	FY26E	FY27E
Sales	20243.0	35020.0	54632.0
Growth %	67.1	73.0	56.0
EBITDA	637.0	1248.0	3575.0
Margin %	3.1	3.6	6.5
Adj PAT	527.0	927.0	2643.0
PAT Growth %	50.1	75.9	185.2
Adj EPS	0.6	1.0	2.7
EPS Growth %	46.3	60.1	185.2

Estimates & Key Highlights

Old Estimates vs New Estimates

Metric	Old FY26E	Old FY27E	New FY26E	New FY27E	Change FY26E	Change FY27E
Revenue	30738.0	41743.0	35020.0	54632.0	13.9	30.9
EBITDA	1686.0	3959.0	1248.0	3575.0	-25.9	-9.7
Margins (%)	5.5	9.5	3.6	6.5	-1.9	-3.0
Adj. PAT	1460.0	3254.0	927.0	2643.0	-36.5	-18.8
EPS	1.6	3.6	1.0	2.7	-40.4	-23.7

Key Highlights

• Consolidated revenue from operations surged 70.4% YoY in Q1FY26 to Rs. 7,167cr as all segments demonstrated robust growth.

• Revenue from the quick commerce business soared 154.8% YoY to Rs. 2,400cr, while the Hyperpure supplies and India food ordering and delivery segment grew 89.4% and 16.4% YoY, respectively.

• Net order value (NOV) of B2C businesses rose 55% YoY to Rs. 20,183cr in Q1FY26, with quick commerce NOV exceeding food delivery NOV for the first time.

• EBITDA fell 35.0% YoY to Rs. 115cr in Q1FY26, mainly due to higher operating expenses; consequently EBITDA margin declined 260bps to 1.6%.

• Reported PAT plunged 90.1% YoY to Rs. 25cr in Q1FY26 because of lower EBITDA.

• Blinkit added 243 new stores in Q1FY26, taking the total to 1,544 stores, and aims to hit 2,000 stores by December 2025.

• NOV growth in food delivery edged lower to 13% YoY in Q1FY26 from 14% in the previous quarter. The growth trajectory of NOV is expected to stabilise after seeing a downturn in late 2024. For FY26, a growth rate exceeding 15% is anticipated, with a potential upward trend towards 20% in FY27.

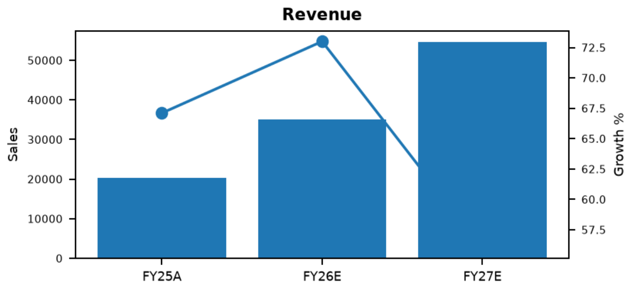
• Margins of the food delivery business declined QoQ despite expanding YoY, due to lower availability of delivery partners on account of festivals and adverse weather conditions, which is a seasonal impact that occurs every year in Q1.

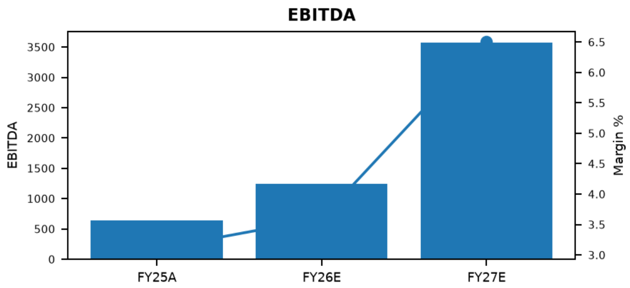
• The long-term profitability of the Blinkit business is not a concern, as a significant portion of the business is already generating profits, with certain cities achieving an impressive 2.5%+ adjusted EBITDA margin (as a percentage of NOV). The early achievement of such margin is a strong indication of the feasibility of the company's long-term guidance of a 5-6% margin.

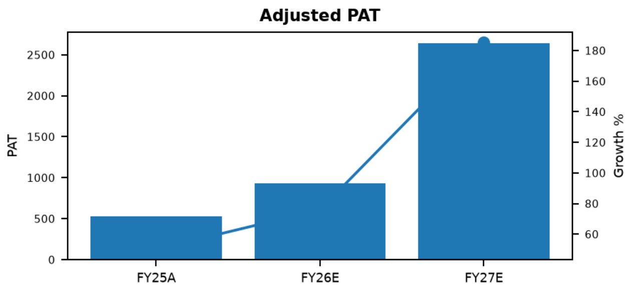
• The Blinkit business witnessed a remarkable 127% YoY growth in NOV, driven by a significant 123% increase in average monthly transacting customers. The company's profitability also improved, despite ongoing investments in new store roll-outs and seasonal factors.

• The company is transitioning its quick commerce business from a marketplace model to inventory ownership over the next 2-3 quarters, anticipating a 1 percentage point margin expansion as a result, while also expecting shrinkage in Hyperpure's non-restaurant business as most B2B buyers in Hyperpure's non-restaurant business were sellers on the quick commerce platform.

Financial Charts







Consolidated Financials

Profit & Loss

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	7079.0	12114.0	20243.0	35020.0	54632.0
Growth %	68.9	71.1	67.1	73.0	56.0
EBITDA	-1210.0	42.0	637.0	1248.0	3575.0
EBITDA Growth %	-35.4	-100.1	63600.0	96.0	186.3
Depreciation	437.0	526.0	863.0	1233.0	1372.0
EBIT	-1647.0	-484.0	-226.0	16.0	2203.0
Interest	49.0	72.0	154.0	181.0	208.0
Other Income	681.0	847.0	1077.0	1401.0	1530.0
PBT	-1015.0	291.0	697.0	1236.0	3524.0
PBT Growth %	-16.8	-128.7	139.5	77.3	185.2
Tax	44.0	60.0	-170.0	309.0	881.0
Tax Rate %	-4.3	20.6	-24.4	25.0	25.0
Reported PAT	-971.0	351.0	527.0	927.0	2643.0
Adj PAT	-971.0	351.0	527.0	927.0	2643.0
Adj EPS	-1.2	0.4	0.6	1.0	2.7
EPS Growth %	-28.1	-134.2	46.3	60.1	185.2
DPS	-	-	-	-	-

Balance Sheet

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Cash	1017.0	731.0	3614.0	3203.0	3155.0
Accounts Receivable	457.0	794.0	1946.0	3309.0	4971.0
Inventories	83.0	88.0	176.0	350.0	511.0
Investments	2280.0	10365.0	10920.0	12012.0	13814.0
Gross Fixed Assets	363.0	529.0	1460.0	2511.0	3740.0
Net Fixed Assets	636.0	977.0	2883.0	3063.0	3198.0
CWIP	7.0	18.0	51.0	56.0	62.0
Intangible Assets	5708.0	5471.0	6649.0	6569.0	6888.0
Total Assets	21599.0	23356.0	35623.0	38346.0	42866.0
Current Liabilities	1406.0	2083.0	3326.0	5022.0	6791.0
Debt Funds	392.0	588.0	1654.0	1737.0	1824.0
Equity Capital	836.0	868.0	907.0	907.0	907.0
Reserves & Surplus	18624.0	19545.0	29410.0	30337.0	32980.0
Shareholder Funds	19460.0	20413.0	30317.0	31244.0	33887.0
Total Liabilities	21599.0	23356.0	35623.0	38346.0	42866.0
BVPS	23.0	23.0	31.0	32.0	35.0

Cash Flow

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
CFO	-844.0	646.0	308.0	445.0	956.0
Capex	-101.0	-202.0	-931.0	-1051.0	-1229.0
CF Investment	457.0	-347.0	-7993.0	-938.0	-1091.0
CF Finance	-127.0	-207.0	8042.0	83.0	87.0
Change in Cash	-514.0	92.0	357.0	-411.0	-48.0
Closing Cash	1017.0	731.0	3614.0	3203.0	3155.0

Ratios

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
EBITDA Margin	-17.1	0.3	3.1	3.6	6.5
EBIT Margin	-23.3	-4.0	-1.1	0.0	4.0
Net Profit Margin	-13.7	2.9	2.6	2.6	4.8
ROE	-5.0	1.7	1.7	3.0	7.8
ROCE	-8.3	-2.3	-0.7	0.0	6.2
Receivables Days	23.6	23.9	35.1	34.5	33.2
Inventory Days	21.7	11.1	11.5	11.3	11.0
Payables Days	177.7	112.2	100.7	102.2	104.6
Current Ratio	7.5	2.6	3.5	2.6	2.2
Quick Ratio	4.1	1.3	2.4	1.8	1.6
Debt / Equity	0.0	0.0	0.1	0.1	0.1
EV / Sales	6.1	13.3	9.5	8.6	5.5
EV / EBITDA	-	3825.7	302.2	240.3	84.0
P / E	-	444.8	335.8	325.2	114.1
P / BV	2.2	7.9	6.4	9.6	8.9

Recommendation Summary

Date	Rating	Target
11-Aug-22	BUY	69.0
17-Feb-23	BUY	60.0
08-Aug-23	BUY	114.0
13-Feb-24	BUY	174.0
16-May-24	BUY	220.0
28-Oct-24	BUY	284.0
30-Jan-25	BUY	254.0
29-Jul-25	HOLD	337.0

Investment Rating Criteria

Buy: Expected upside generally above the prescribed investment threshold.
Accumulate: Moderate expected upside with positive risk-reward characteristics.
Hold: Limited expected upside or balanced risk-reward.
Reduce / Sell: Expected downside or unfavourable risk-reward.
Not Rated: Insufficient basis for a formal rating.

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